

Contestant Number: _____

Time: _____

Rank: _____



ADVANCED COLLEGE ACCOUNTING (115)

STATE – 2020

Multiple Choice & Short-Answer:

Multiple Choice (20 @ 2 points each) _____ (40 points)

Problems:

Problem 1: Journal Entries/Missing Amounts _____ (62 points)

Problem 2: Capitalized Cost _____ (78 points)

Problem 3: Bank Reconciliation _____ (44 points)

TOTAL POINTS _____ ***(224 points)***

Failure to adhere to any of the following rules will result in disqualification:

- 1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.**
- 2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.**
- 3. Electronic devices will be monitored according to ACT standards.**

No more than ten (10) minutes orientation
No more than ninety (90) minutes testing time
No more than ten (10) minutes wrap-up

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General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have ninety (90) minutes to complete your work. The test is divided into two parts. The multiple choice should be completed first, then the accounting problems may be completed in any order.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- GAAP
- Round to two decimal places unless otherwise instructed
- Percents rounded to the tenth percent (Ex: 22.8%)
- Perpetual Inventory
- Ordinary Interest

MULTIPLE CHOICE

Identify the letter of the choice that best completes the statement or answers the question.

1. Which statement is true regarding common stock cash dividends?
 - a. Dividends are always paid on all issued shares
 - b. Issued stock + treasury stock = outstanding shares of stock
 - c. Cash dividend amount x outstanding shares = total cash dividends
 - d. Cash dividend amount x issued shares = total cash dividends
2. The long-term contract method of construction accounting, the value of the asset equals.
 - a. All cumulative costs
 - b. All cumulative gross profit
 - c. All cumulative costs + gross profit
 - d. All cumulative revenues + gross profit
3. Original cost – Accumulated Depreciation equals _____.
 - a. market value
 - b. replacement cost
 - c. book value
 - d. salvage value
4. To calculate the proceeds of a bond issue, this two-step process is used.
 - a. Find the future value of the bond and the future value of the interest payments.
 - b. Find the future value of the bond and the present value of the interest payments.
 - c. Find the present value of the bond and the present value of the interest payments.
 - d. Find the present value of the bond and the future value of the interest payments.
5. A loan for \$60,000 that calls for 10 equal annual payments of the principle + interest should be classified as?
 - a. All of it as a long term asset
 - b. Part of the amount as a short term liability and the rest as a long term asset
 - c. The entire amount as a short term asset
 - d. Part of the amount as a short term liability and the rest as a long term liability
6. Which is the correct formula for calculating net sales?
 - a. Gross Sales + Sales Discounts – Sales Returns and Allowances
 - b. Gross Sales + Sales Discounts + Sales Returns and Allowances
 - c. Gross Sales - Sales Discounts – Sales Returns and Allowances
 - d. Gross Sales - Sales Discounts + Sales Returns and Allowances

7. This is the entry which would be prepared if a previously written off account of \$325 was later collected under the Allowance Method.
- | | | | |
|----|------------------------------|--------|--------|
| a. | Accounts Receivable | \$ 325 | |
| | Allowance for Uncollectibles | | \$ 325 |
| | Cash | 325 | |
| | Accounts Receivable | | 325 |
| b. | Cash | 325 | |
| | Accounts Receivable | | 325 |
| c. | Accounts Receivable | 325 | |
| | Bad Debts Expense | | 325 |
| | Cash | 325 | |
| | Accounts Receivable | | 325 |
| d. | Allowance for Uncollectibles | 325 | |
| | Bad Debts Expense | | 325 |
8. To find the amount of supplies used during the period you would use?
- Beginning Supplies - Ending Supplies + Supplies Purchased
 - Beginning Supplies + Supplies Used
 - Beginning Supplies + Supplies Purchased + Ending Supplies
 - Beginning Supplies - Supplies Purchased + Ending Supplies
9. Net sales = \$210,225 and Cost of Goods Sold = 162,105; what is the Gross Profit Ratio
- 22.9%
 - 77.1%
 - 29.7%
 - None of the about
10. FOB Destination means the _____.
- buyer has to pay for shipping and title transfers when received by buyer
 - buyer has to pay for shipping and title transfers when shipped
 - seller has to pay for shipping and title transfers when received by buyer
 - seller has to pay for shipping the title transfers when shipped
11. A stock split of 3 for 1 means
- the stockholder will now have 3 shares for every one owned
 - the stockholder will now have 4 shares for every one owned
 - the stockholder will now have 2 shares for every one owned
 - none of the above
12. A parcel of land with a building on it was purchased for \$50,000. The old building was razed for a cost of \$13,000 and the scrape was sold for \$2,300. Clearing and grading the land cost \$18,000 and the architect for the new building was paid \$30,000. What is the recorded value of the land?
- \$68,000
 - \$98,000
 - \$60,700
 - \$78,700

13. If a company paid \$3,000,000 for land valued at \$1,000,000, a building valued at \$1,900,000 and equipment valued at \$ 1,600,000. What value would you place on the equipment? **Round your answer to the nearest dollar.**
 - a. \$ 1,600,000
 - b. \$ 1,066,667
 - c. \$ 2,133,333
 - d. \$ 1,000,000

14. On May 1, 2019 a piece of 7 year equipment (machine) is purchased for \$700,000. A platform was built for the machine at a cost of \$270,000 and testing the machine cost \$14,000. What should the cost of the equipment be recorded at?
 - a. \$700,000
 - b. \$970,000
 - c. \$714,000
 - d. \$984,000

15. On May 1, 2019 a piece of 7 year equipment (machine) is purchased for \$700,000. A platform was built for the machine at a cost of \$270,000 and testing the machine cost \$14,000. If the company used straight line depreciation and the equipment has a salvage value of 32,000, what amount of depreciation would be taken in 2019?
 - a. \$90,667
 - b. \$136,000
 - c. \$11,333
 - d. \$140,571

16. Technologically feasible relates to the software industry's _____.
 - a. capitalization of research and development costs.
 - b. time period that expenses research and development costs.
 - c. records the expenses as incurred.
 - d. records the expenses when paid.

17. AICPA means _____.
 - a. American Institute of Clover Patch Association
 - b. American Institute of Certified Peoples Association
 - c. American Institute of Certified Public Actors
 - d. American Institute of Certified Public Accountants

18. The Tom Terrific Company changes their accounting method of inventory reporting; they switched from FIFO to LIFO. How are the financial statement years presented for the Income statement?
 - a. report a change in accounting methods each year presented on Income Statement
 - b. report a change in accounting methods the year of the change
 - c. report a change in accounting methods each year after the change
 - d. do nothing except put a parenthetical note on the statement

19. Which depreciation method is not, in any case scenario, an accelerated form of depreciation?
- a. Double Declining Balance
 - b. Straight-Line
 - c. Sum-of-the-Years Digits
 - d. Units of Production
20. Which of the following intangible assets are not amortized?
- a. Goodwill
 - b. Patent
 - c. Franchise
 - d. All the above are amortized.

PROBLEM 1 (62 points)

Fill in the shaded box with the missing amounts in the T accounts

Supplies 460 4,067 600	Prepaid Insurance 3,040 2,740	Allow. For Bad Debt 1,200 2,800
Accumulated Depreciation 30,140 42,069	Patent 100,000 80,000	Bad Debt Expense 3,875
Supplies Expense	Insurance Expense 2,450	Depreciation Expense
Retained Earnings 140,650 187,953	Dividends 5,000	

Record the adjusting entries for (a) supplies, (b) insurance, (c) depreciation, (d) amortization, and (e) bad debts.

General Journal

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Date	Description	Debit	Credit
a.			
b.			
c.			
d.			
e.			

PROBLEM 2 (78 points)

The following is a list of costs incurred for the purchase of a new piece and a used piece of construction equipment. Determine the cost to be recorded in the financial records and prepare the appropriate journal entries.

New Equipment		Used Equipment	
Purchase Price	\$470,000	Purchase Price	\$170,000
Sales Tax	23,500	Sales Tax	8,500
Special Foundation	48,250	Shipping Charge	6,200
Equipment testing	5,100	Insurance while in shipping	300
Damage at installation	2,000	Reconditioning	3,700
Shipping	8,600	Annual Liability Insurance	1,200

Assume the new equipment was purchased on July 1, 2019. The equipment was financed with a note payable; all other expenses were paid for with cash. Prepare the journal entry to record the purchase of the equipment with a 6 month, 8% note payable due on December 31, 2019

Date	Description	Debit	Credit

Record the payment of the note on the maturity date.

Date	Description	Debit	Credit

Record the first year's depreciation using the double-declining balance method, assuming the salvage value is \$150,000 and the useful life is 6 years (round to the nearest whole number).

Date	Description	Debit	Credit

Assume the used equipment was purchased on March 1 with a cash down payment of 50% and the rest on a 180 day, 6% note payable. Record the entry to purchase the equipment and the insurance policy.

Date	Description	Debit	Credit

Record the payment of the note on the maturity date. Round final calculations to the nearest dollar.

Date	Description	Debit	Credit

Record the first year's depreciation using the straight-line method. Assume the salvage value is \$35,000 and the useful life is 48 months. Round final calculations to the nearest dollar.

Date	Description	Debit	Credit

PROBLEM 3 (44 points)

Chi-Bears Company has the following information regarding their bank reconciliation for May 2020. A note receivable was collected by the bank for \$2,000 + interest, see the note below. There was one check from a customer that was returned as an NSF check and bank fees charged are below.

Bank Statement:

Ending Balance: \$38,167.74
Additional Addition: Note Collection: \$2,000 note + 4 months interest at 8%
Additional Withdrawal: NSF check for \$413.00
Bank Checking Fees: \$25.00
May 27th deposit not recorded
Check #2518 and #2530 outstanding

General Ledger Cash Account Detail:

Book Deposit Amount	Dated	Deposit Amount	Dated
\$1,645.58	May 6	\$4,996.38	May 13
\$3,889.44	May 20	\$2,775.03	May 27

Check #	Withdrawal Amount	Check #	Withdrawal Amount
2518	48.00	2526	2,685.33
2520	157.16	2527	442.80
2523	3,680.20	2528	684.57
2524	388.99	2529	587.24
2525	2,844.02	2530	894.77

Ending Balance: \$38,384.67

Directions: Complete a Bank Reconciliation for May 2020 as well as the adjusting journal entries for the GL Cash account.

Continue to next page...

Chi-Bears Company Bank Reconciliation May 31, 2020	
Bank Statement	
BANK BALANCE	\$
ADJUSTED BALANCE	\$
General Ledger Cash	
BOOK BALANCE	\$
ADDITIONS:	
SUBTRACTIONS:	
ADJUSTED BALANCE	\$

Prepare the Adjusting entries for the GL Cash Account

Date	Description	Debit	Credit